

CHAPTER THREE

3. ENVIRONMENTAL ANALYSIS

3.1 INTRODUCTION

Environment literally means the surroundings, external objects, influences or circumstances under which someone or something exists. The environment of any organization is “the aggregate of all conditions, events and influences that surround and affect it”. Since the environment influences an organization in multitudinous ways, it is of crucial importance to understand it. If an organization understands the environment in which it operates, half the problem is solved. This requires an analysis of what is happening outside the organization and an evaluation of current resources (strength and weaknesses) and an assessment of opportunities and threats present in the environment. Environment could be classified as external and internal. The external environment again can be seen as macro/remote and micro/industry.

3.2 Environmental Analysis/scanning

Environmental analysis is one of the most critical elements of strategic planning and management. Firms that properly analyze the environment are much more likely to succeed than those that do not. Conversely a major mistake, such as assuming that environmental conditions will not change, is very likely to seriously harm the firm. Environmental scanning is the monitoring, evaluating and disseminating of information from the external and internal environments to key people within corporation.

3.3 Why Environmental Analysis?

The strategies that a company may adopt are influenced by the environment. An organization cannot keep itself insulated from the environment. It cannot take decisions on policies and performance independent of the happenings in the environment around it, as it affects the strategic decisions required to be taken by a company. An analysis of environment and its behavior gives ample scope for companies to anticipate various opportunities and threats and being proactive towards them implies that the organizations can turn them to their maximum advantage. If companies lack direction, focus and perception of changing business scenario, they may not be able to withstand predatory competition. Many companies went out of business due to their myopic approach towards the changing environment. They considered themselves invincible and that nothing in the environment could deter their progress.

3.4 The nature of external environment

Business environment has several characteristics and each of these characteristics is to be clearly understood by strategic managers. Some of the characteristics of environment are as follows:

- 👉 **Environment is complex:** environment has many dimensions for a particular business. The events, conditions, and influences arise from various sources present in the environment. All these factors interact with each other to produce changes in environment. It is quite difficult to understand interactions of all the factors present in the environment. However, strategy managers try to comprehend the various factors and their influences.
- 👉 **Environment has multi-dimensions:** when a change is triggered off in a business environment, it may influence some factors and may not influence some others. Change in environment is perceived by different people in different ways. For some companies, amendment of a law may be useful while for others it may prove to be fatal. Opportunities present in an environment may be threat to some company. The dimensions available to define an environment and study its effect of change are multitude and often strategy managers find it difficult to identify all the factors.
- 👉 **Environment is not static:** around a business world changes (either fast or slow) occur continuously. In the present business scenario, there are more frequent and rapid changes. Changes may occur in any scope of the environment and consequently affect other factors. The dynamism of the environment brings in many threats as well as opportunities for an organization. Hence, organizations should be more alert to changes and be more adaptable for this is necessary for its survival.
- 👉 **Environment affects business strategies:** Since the environment has a direct effect on the companies, organizations have to formulate their objectives keeping environment in focus. Hence, the formulation of policies should essentially be in tune with these objectives. A strategy that is adopted by a company may fail miserably if environmental factors are not correctly perceived and addressed while formulating the strategies.
- 👉 **Environment is partially controllable:** The environment within a company can be controlled to some extent whereas the environment outside an organization is not under control and hence has to be assessed. The environment can only be partially influenced by one company since there are other companies in the environment.

These companies have varying interests which may clash with the interest of the company attempting to influence the environment.

3.5 Approaches to environmental scanning

- ✓ **Systematic approach**-taking data from all units internal/external systematically
- ✓ **Ad hoc approach**-conducting a special survey for special projects
- ✓ **Processed form approach**-use of processes data from gov't, institutions...(2ndary data utilization)

	Ad Hoc	Periodic/Processed	Continuous/systematic
General Characteristics	- Usually performed in response to crisis - Not as in-depth - Forecasts are more short-term	- Tied to planning cycle (e.g., every 3 years) - In-depth - Forecasts 5 to 10 years	- Also called <i>Continuous Learning</i> - Structured, in-depth data collection and analyses by dedicated staff - Data gathered is more comprehensive
Pros	- Allows for quicker turn-around of scan results - Lower commitment of resources over time	- Predictable frequency allows for appropriate budget planning - Frequency provides timely information gathering for planning - Planning is proactive...	- Dedication of time by researchers allows incorporation of data from more sources - Provides planners with more comprehensive information - Informs planners of critical changes sooner - Plans can be adjusted or adopted more proactively
Cons	- Data can be more artificial - Results may address immediate issues, but are less generalizable - If only conducted in response to crises, indicates lack of organized institutional planning efforts - Planning response is reactive	- Reaction to unforeseen changes in environment (e.g., onset of recession) may require Ad Hoc scan to supplement information. - Planning response is then more reactive	Requires ongoing institutional commitment of resources (funding, personnel, and time)

3.6 Sources of external Information

A company can obtain information from different sources, but it should be ensured that the information is correct. The correct source should be tapped for specific information for more accuracy. Information received from secondary sources may sometimes even misguide strategy managers. Hence it is important that information should be verified for correctness before it is processed and decisions are taken based on it. The various sources from where information can be gathered include:

- Trade directories, journals, magazines, newspapers, books, newsletters, Government publications, annual reports of companies, case studies etc.
- Radio news, television, internet etc.

- Internal documents, files, records, management information system, employees, standards, drawings, charts etc.
- External agencies like customers, suppliers, inspection agencies, marketing intermediaries, dealers, advertisers, associations, unions, Government agencies, Shareholders, competitors etc.
- Market research reports, consultants, educational institutions, testing laboratories etc.
- Spying, considered as a powerful way of extracting information from other companies.

It is found that the chronological order of information is also quite important for strategy managers. Usually information received from government agencies is quite stale since processing takes more time. The information received from competitors is quite expensive but it is usually fresh and is quite useful.

3.7 Influence of Environment

The environment in which an organization exists can be described in terms of the opportunities and threats operating in the external environment apart from the strengths and weaknesses existing in the internal environment. These various influences of the environment may be summarized as **SWOT**-strength, weakness, opportunities and threats. Below description of each of **SWOT** components is given.

- ❖ **Opportunity:** an opportunity is a favorable condition in the organization's external environment which enables it to consolidate and strengthen its position.

An example of an opportunity is a growing demand for the products or services that a company provides.

- ❖ **Threat:** a threat is an unfavorable condition in the organization's environment which creates a risk for, or causes damage to the organization. An example of a threat is the emergence of strong new competitors with better products or services who are likely to offer stiff competition to the existing companies in an industry.

- ❖ **Strength:** strength is an inherent capacity which an organization can use to gain strategic advantage. An example of strength is superior research and development skills which can be used for new product development so that the company can gain a strategic advantage.

- ❖ **Weakness:** A weakness is an inherent limitation or constraint which creates strategic disadvantages. An example of a weakness is overdependence on a single product line, which is potentially risky for a company in times of crises.

3.8 External Environmental Scanning/PEST/PESTL

The macro environment is the broad environment outside of an organization's industry and markets. It is generally beyond the influence of individual business but can have a significant impact on the micro as well as internal environments. It is sometimes referred to as the far or remote environment because it tends to exert forces from outside the organization's sphere of influence and the forces are usually beyond control.

Changes in the macro environment can be of immense importance to an organization; they tend to impact all organizations within an industry and sometimes also within the markets served by the industry. Changes in the macro environment can:

- ✓ Bring about the birth or death of an entire industry
- ✓ Make markets expand or contract
- ✓ Determine the level of competitiveness within an industry and many other things.

It is therefore essential that managers are alert to actual and potential changes in the macro environment and that they anticipate the potential impacts on their industry and markets. Being able to predict changes and acting to take advantage of, or defending against, macro environmental changes can itself be a source of competitive advantage.

Identifying External Environmental Variables:

Understanding the environment necessitates identifying the variables within an organization's societal and task environment. A PEST analysis such as Political, Economic, Social and Technological environment analysis is normally used for scanning the environment.

1. Political/Legal Environment

- ❖ Political ideology and political stability or instability strongly influence the pace and direction of the economic growth. To varying degrees, all businesses will be affected by political influences. Accordingly, it is important for managers to monitor government policy to detect changes early so as to respond effectively.
- ❖ These include government regulations such as employment laws, environmental regulations and tax policy. Other political factors are trade restrictions and political stability.
 - ✓ What changes in regulation are possible?
 - ✓ What will their impact be on our industry?
 - ✓ What tax or other incentives are being developed that might affect strategy development?
 - ✓ Are there political or government stability in risks?

For example, some political parties allow Foreign Direct Investment (FDI) and some political parties oppose the FDI depending upon their notions towards foreign companies and their impact on national economy.

2. Economic Environment

The economic environment consists of macro level factors related to the means of production and distribution of wealth which have an impact on the business of an organization. Some of the important factors and influences operating in the economic environment are:

- 👉 The economic stage at which a country exists at given point of time.
- 👉 The economic structure adopted such as a capitalistic, socialistic, or mixed economy.
- 👉 The economic policies, such as industrial, monetary and fiscal policies.
- 👉 Economic planning, such as five year plans, annual budgets and so on.
- 👉 Economic factors like national income, distribution of income, per capita income etc
- 👉 Interest rates, inflation and currency exchange rates.
- 👉 Infrastructural factors, such as financial institutions, banks, modes of transportation, communication facilities and so on. These affect the cost of capital and purchasing power of an organization.

3. Socio-Cultural Environment

Analysis of the social environment is concerned with understanding the potential impacts of society and social changes on a business, its industry and markets. Socio cultural environment are the forces that regulate the values, morals and customs of society. Important factors to be considered are:

- Demographic characteristics
- Social concerns
- What are the current or emerging trends in lifestyle, fashions, and other components of culture?
- Family structure and changes in it
- Role of women in society, position of children and adolescents in family and society
- Educational level, awareness and consciousness of rights and work ethics of members of the society.
- Socio cultural concerns such as environmental pollution, consumerism, corruption, use of mass media, the role of business in society.

These impacts on the consumer's need and the potential market size for an organization's goods and services. The socio-cultural environment primarily affects the strategic management process within the organization in the areas of mission and objective setting and decisions related to products and markets.

4. **Technological Environment**

The technological environment consists of the factors related to technology used in the production of goods and services that have an impact on the business of an organization. Technological factors to be considered are:

- ✓ Source of technology like company, external and foreign sources, cost of technology acquisition, collaboration and transfer of technology.
- ✓ Technological development, rate of change of technology and research and development.
- ✓ Impact of technology on human beings, the man-machine system and the environmental effects of technology.
- ✓ Communication, infrastructure and managerial technology.

According to Boris Petrov, there are three strategic implications of technological change:

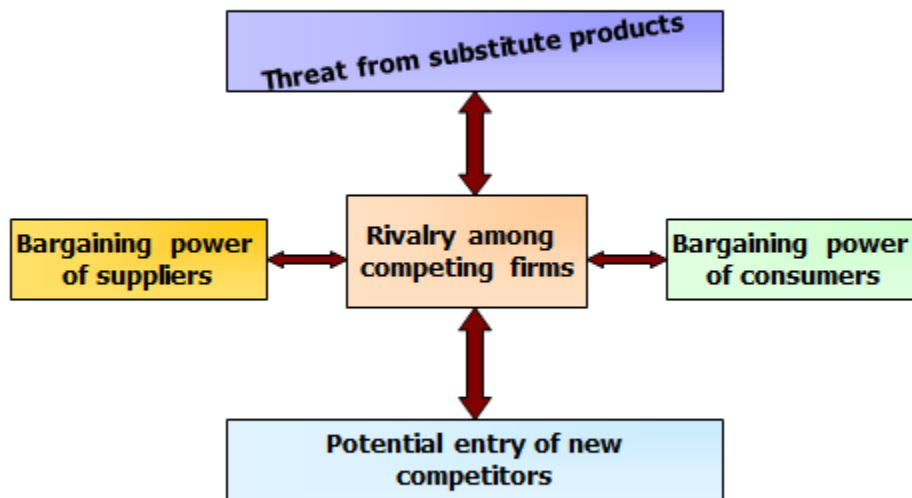
- ✚ It can change relative competitive position within a business
- ✚ It can create new markets and new business segments and
- ✚ It can collapse or merge previously independent businesses by reducing or eliminating their segment cost barriers.

For a business firm technology affects its final products by changing processes in raw material sourcing, production and distribution. Technology, when rightly used can bring about huge changes in the productivity of firms. Computer Industry is one example where the technology in the industry keeps pushing competition to the brink.

3.9 Analyzing the Task Environment, Industry Competition and Competitive Analysis

An industry can be viewed as a group of firms that attempt to serve essentially similar customer needs in the same markets with similar products and services. Organizations within an industry with similar strategic characteristics, following similar strategies, competing on similar basis, adopting similar promotional, pricing, and distribution strategies constitute strategic groups Michael Porter (1980), from Harvard School of Business Administration, developed a framework for analyzing the nature and extent of competition within an industry. He argued that there are five competitive forces which determine the nature of competition within an industry.

The Five-Forces Model of Competition (Porter's approach)



By determining the relative “power” of each of these forces, an organization can identify how to position itself to take advantage of opportunities and overcome threats. When using the Porters framework, it is important to identify which of the five forces are the key forces at work in an industry at any given point in time

↳ How the Five-Forces shape Competition within an Industry?

The stronger that each of these five forces is, the more limited is the ability of established companies to raise prices and earn greater profits within their industry. In other words we can say firms will face difficulty in stronger competitive forces

A. The Threats of New Entrants to the Industry.

New entrants to an industry typically brings to it new capacity and desire to gain market size and substantial sources. They are therefore threats to established corporations. Threat of entry depends on the entry barriers and the reaction that can be expected from the existing companies. Their presence may force prices down and put pressure on profits of incumbents. Analyzing the threat of new entrants involves examining the barriers to entry and the expected reactions of existing firms to a new competitor. An entry barrier is an obstruction that makes it difficult for a company to enter into an industry.

❖ **Major entry barriers include:**

- 👉 **Economies of scale:** These exist whenever large volume firms enjoy significantly lower production cost per unit than smaller volumes operator do. This discourages new firms, which have less volume and high production cost from entering into the market.
- 👉 **Cost disadvantage independent of scale:** Established competitors may have cost advantage even when the new entrant has comparable economies of scale. This advantage may include proprietary product knowledge such as patents, favorable access to raw materials, favorable locations, government subsidies etc.
- 👉 **Product differentiation:** Differences in physical or perceived characteristics must make incumbent's product unique in the eyes of customer and force customers to overcome existing brand loyalty.
- 👉 **Capital Requirements:** if the amount of investment required to enter an industry (plant and equipment costs, working capital, etc.) is high, the entrants who can afford to start up will be limited.
- 👉 **Switching cost:** Sometimes the cost that would be incurred by the customers to switch from one supplier to another supplier makes it difficult for the new entrants to gain market share.
- 👉 **Access to distribution channel:** Existing relationship and agreements between manufacturers and key distributors in a market may also create barriers to entry. Companies aspiring to enter a market may look for unique distribution channel to provide access as well as to differentiate their products.
- 👉 **Government policy:** government can limit or even foreclose entry to industry with such controls as license requirements and limits on access to raw materials. The government also can play a major indirect role by affecting entry barriers through controls like air and water pollution standards and safety regulations.

❖ **The threat of new entrants is greatest when:**

- | | |
|---|--|
| ✓ Processes are not protected by regulations or patents. | ✓ The production process is easily learned |
| ✓ Customers have little brand loyalty. | ✓ Access to inputs is easy. |
| ✓ Start-up costs are low for new businesses entering the industry | ✓ Access to customers is easy |
| ✓ The products provided are not unique | ✓ Economies of scale are minimal. |
| ✓ Switching costs are low | |

B. The Threat of Substitute Products

Substitute products are those products that appear to be different but can satisfy the same need as another product. The availability of substitutes places a ceiling on price limit of an industry product. When the price of the product rises above that of the substitute product customers tend to switch over to the substitutes. A threat exists if there are alternative products with lower prices or better performance or both.

❖ **Substitutes are greater threat when:**

- Your product doesn't offer any real benefit compared to other products. What will hold your customers if they can get an identical product from your competitor?
- It is easy for customers to switch. A grocer can easily switch from paper to plastic bags for its customers, but a bottler may have to reconfigure its equipment and retrain its workers if it switches from aluminum cans to plastic bottles.
- Customers have little loyalty. When price is the customer's primary motivator, the threat of substitutes is greater.
- The extent to which the price and performance of the substitute can match the industry's product.

You can reduce the threat of substitutes by using tactics such as staying closely in tune with customer preferences and differentiating your product by branding. In some cases, the advertising required to differentiate is more than one firm can bear. In that case, collective advertising for an industry may be more effective.

C. Bargaining Power of Buyers/customers

Buyers can exert bargaining power over a supplier industry by forcing its prices down, by reducing the amount of goods they purchase from the industry or by demanding better quality for the same price.

❖ **Factors that makes the buyer more powerful:**

- ✓ ***Undifferentiated or standard supplies:*** If the product being supplied is a commodity good or service then customers can shop around for the most favorable terms.
- ✓ ***When the supply industry is composed of many small companies*** and the buyers are few in number and large. These circumstances allow the buyers to dominate suppliers.
- ✓ ***Credible threat of backward integration:*** Backward integration involves a buyer moving to an earlier stage of manufacturing or distribution, thus becoming a competitor for the supplier's business.
- ✓ ***Accurate information about the cost structure of the supplier:*** This allows the customers to exercise more precision in negotiating the price of the supplier.
- ✓ ***Price sensitivity:*** Buyers are likely to be more price-sensitive if

- ✚ Suppliers represent the significant fraction of the total cost incurred by the buyers
- ✚ The supplier product is unimportant to the overall quality or cost of the buyer's final product and
- ✚ The buyers already earn a low profit. A growing trend among small businesses is to augment their bargaining power as customers through joining or forming buying groups.

The bargaining power of customers can be reduced by increasing their loyalty to your business through partnerships or loyalty programs, selling directly to consumers, or increasing the inherent or perceived value of a product by adding features or branding. In addition, if you can select the customers who have little knowledge of the market and have less power, you can enhance your profitability.

D. Bargaining Power of Suppliers

Any business requires inputs like labor, component parts, raw materials, and services. The cost of the inputs can have a significant effect on a company's profitability. Suppliers can be viewed as a threat when they are able to force up price that a firm must pay for its inputs or reduce the quality of the inputs they supply, thereby reducing the firm's profitability.

❖ Suppliers become powerful when:

- 👍 The product they sell has few substitutes and is important to the company. This limits customers' options.
- 👍 The company's industry is not an important customer. In this case the supplier's health does not depend on the buyers and they will have little incentive to reduce prices or improve quality.
- 👍 The products offered are differentiated to such an extent that it is costly for a firm to switch from one supplier to another. High differentiation by the supplier and high switching cost for the buyer discourages customers from shopping around and playing one supplier against another.
- 👍 They use the threat of forward integration and directly compete with the buyers. Credible threat of forward integration by suppliers involves suppliers moving into a later stage of the manufacturing process or distribution.
- 👍 Buying companies do not use the threat of vertically integrating backward and supplying their own needs as a means to reduce input prices.
- 👍 The buyers do not have a full understanding of their supplier's market. You are less able to negotiate if you have little information about market demand, prices, and supplier's costs.

To reduce the bargaining power of supplier, as most businesses do not have the resources to produce their own inputs then they might consider forming a partnership with their suppliers. This can result in a more even distribution of power.

E. Intensity of Rivalry among Competitors

In most industries individual firms are mutually dependent. Competitive moves by one firm can be expected to have noticeable effects on its competitors and cause retaliation or counter efforts. Competition can be in the form of pricing, product differentiation, product innovation etc.

❖ **Factors that increase competitive rivalry are:**

- ✓ **Equally balanced competitors:** The most intense competition results from well-matched rivals in a situation that doesn't allow any particular firm to dominate.
- ✓ **Slow industry growth:** In slow growth markets, growth has to come by taking market share from rivals.
- ✓ **High fixed cost:** Additional sales volume can help to offset high fixed cost. Hence competitors might be willing to fight for any possible sales.
- ✓ **Lack of differentiation or lack of switching cost:** These two factors ensure that customers can easily switch over to a rival product and to retain them is a constant struggle.
- ✓ **Large increase in manufacturing capacity:** If a manufacturer can increase capacity by a large increment, by building a new plant, it will run it at full capacity to keep the unit cost less - thus producing so much that the selling price falls throughout the industry.
- ✓ **High strategic stakes:** The market is well worth fighting for because of its profit potential or the opportunities it creates elsewhere.
- ✓ **High exit barriers:** For economic, strategic or emotional reasons, individual players might consider it difficult to leave the industry. Common exit barriers include the following:
 - ✚ Investments in plant and equipment that have no alternative uses and cannot be sold off. If the company wishes to leave the industry, it has to write off the values of these assets.
 - ✚ High fixed cost of exit such as severance pay to workers who are being made redundant
 - ✚ Emotional attachments to an industry as when a firm is unwilling to exit from its original industry for sentimental reasons.
 - ✚ Economic dependence on the industry as when a company is not diversified and so relies on the industry for its income.

Threats of rivals can be reduced by employing a variety of tactics. To minimize price competition, distinguish your product from your competitors' by innovating or improving features. Other tactics include focusing on a unique segment of the market, distributing your product in a novel channel, or trying to form stronger relationships and build customer loyalty.

❖ According to five force model;

- **An unattractive industry** is one in which intense rivalry already exists among competitors, there are substantial threats in terms of new competitors and substitute products, and suppliers and buyers are very powerful in bargaining over prices and quality.
- **An attractive industry** is one with less intense competition, few threats from new entrants or substitutes, and low bargaining power among suppliers and buyers.

🔗 Identifying Industry Key Success Factors

❖ Answers to **three** questions pinpoint **KSFs**

- ✓ On what basis do customers choose between competing brands of sellers? Eg. Price
- ✓ What resources and competitive capabilities does a seller need to have to be competitively successful? Eg. Capital, knowledge, technology...
- ✓ What does it take for sellers to achieve a sustainable competitive advantage? Eg.

Scientific research expertise❖ **KSFs** consist of the **3 - 5** really **major** determinants of financial and competitive success in an industry.❖ **Strategic Management Principle**

- ✚ A sound strategy incorporates efforts to be competent on all industry key success factors and to excel on at least one factor!
- ✚ The key to winning is not to assume that your industry will continue as it is now but to assume that the industry will change and to make sure that your company will be in position to take advantage of that change.

3.9 Internal Environment Scanning

David Campbell, et al (2002) state that internal analysis is concerned with providing management with a detailed understanding of the business, how effective its current strategies are and how effectively it has deployed its resources in support of its strategies. In recent years the importance of internal analysis has been given greater emphasis because recent research has suggested that it is predominantly the actions of the business itself that determine its ability to outperform competitors. Internal analysis aims to provide managers of a business with an understanding of its potential for competitive advantage and equally, of those areas where it must take remedial action to ensure its survival.

❖ Organizations may carry out internal analysis for some or all of the following reasons:

- ✓ To identify resources, capabilities, core competencies and competitive advantages
- ✓ To evaluate how effectively value adding activities are organized

- ✓ To identify areas of weaknesses to be addressed in future strategy and its implementations
- ✓ To evaluate financial performance, particularly in comparison with competitors
- ✓ To evaluate the performance of products
- ✓ To evaluate investment potential if finance is being sought from external sources
- ✓ To assess the suitability, feasibility and acceptability of future strategies

3.9.1 COMPONENTS OF INTERNAL ANALYSIS

- Resources
- Capabilities
- Core Competencies
- Competitive Advantage

❖ Resources Analysis

Campbell et al (2002), assert that a resource is an input employed in the activities of the business. Success rests on large part upon the efficiency by which the business converts its resources into outputs. Resources fall into four broad categories: human, financial, physical or tangible (buildings, equipment, stock etc.) and intangible (know how, patents, legal rights, brand name, registered designs etc.). Intangible resources are often produced within the organization, but tangibles are obtained from outside organizations. Such resources are obtained in resources markets in competition with businesses from within and outside the industry.

❖ Capabilities Analysis

- ☞ Refer to the firm's ability to utilize its resources effectively.

In order to take full advantage of its resources, an organization needs to develop skills. As experience suggests, two different firms with similar amount of resources add value of different amount for themselves. This difference can be attributed to the difference in the firm's capabilities.

Organizational capability is the inherent capacity or potential of an organization to use its strengths and overcome its weaknesses in order to exploit opportunities and face threats in its external environment. It is also viewed as a skill for coordinating resources and putting them to be productive. Without capability, resources, even those valuable and unique, may be worthless. Primary base for the firm's capabilities is the skills and knowledge of its employees.

The capability of a company can be assessed based on various factors as discussed below.

- **Financial capability:** There are various factors which determine the financial capability of company. The capital structure, cost of funds, financing patterns, capital investment, fixed assets, dividend distribution, accounting and budgeting systems, working capital management etc., are some of the factors based on which internal assessment of two companies can be done.
- **Marketing capability:** Marketing capability of a company is assessed on the basis of several factors by which the company's strength can be estimated. Some of the important factors can be product mix, positioning of brand, packaging, pricing, variety, sales promotion, advertising, distribution, company image, and marketing
- **Production and operations capability:** The ability of an organization to use its production or operation capability in line with its strategies is vital. Various factors that relate to assessment of production or operational capability are capacity, location, layout, work system, automation, planning, availability of raw materials and components, inventory, production facilities, flexibility in changing production lines, layouts, facilities etc.
- **Capability of Personnel:** The capability of employees in an organization is evaluated based on various factors. Some of the important factors are trained manpower, manpower planning, selection, compensation, retention of personnel, communication, quality of managers, union management relationships, collective bargaining etc.
- **Management capability:** Management capability lies in organizing the activities of an organization. These may include coordination amongst various groups, planning for growth, corporate planning, values, norms, capacity to do work, maintaining relationship with the Government, regulatory agencies, financial and public institutions, contribution to culture, society etc.

❖ **Core competencies**

Hamel (1990): core competencies are the collective learning of the organization, especially how to coordinate diverse production skills and integrate multiple streams of technologies. Core competencies arise from the integration of multiple technologies and the coordination of diverse production skills.

Without core competencies, a large corporation is just a collection of discrete businesses. Core competencies are resources and capabilities that serve as a source of competitive advantage for a firm over its rivals. As the source of competitive advantage for a firm, core competencies distinguish a company competitively and reflect its personality. As the capacity to take action, core competencies

are activities the company does especially well compared with competitors and through which the firm adds unique value to its goods or services over a long period of time.

The more unobservable/intangible resources are the more sustainable will be the competitive advantage that is based on it. In global economy, the success of a corporation lies more on its intellectual and systems capability than its physical assets. Some of the core competencies can be product quality, innovative designs, specialty products, and services, unique design features developed by R&D., low cost sources, trained manpower etc. The unique capability of an organization, which enables it to capitalize on specific opportunities through a distinctive competitive edge, gives the firm a distinct position in the market. Companies have to identify based on their objectives and strategies, the core competencies that they would like to develop. To be sustainable, core competencies should satisfy the following four important criteria: valuable, rare, costly to imitate and non-substitutable.

- ✓ Valuable capabilities help a firm neutralize threats or exploit opportunities
- ✓ Rare capabilities are not possessed by many others
- ✓ Costly to imitate capabilities are those which are historical, ambiguous to understand by competitors and cost them a huge amount of money to adopt.
- ✓ Non substitutable capabilities are those with no strategic equivalent

Here, it is important to bear in mind that every core competency is a capability but not every capability is a core competency. This holds true for all capabilities may not lead to the establishment of core competencies.

❖ **Competitive Advantage**

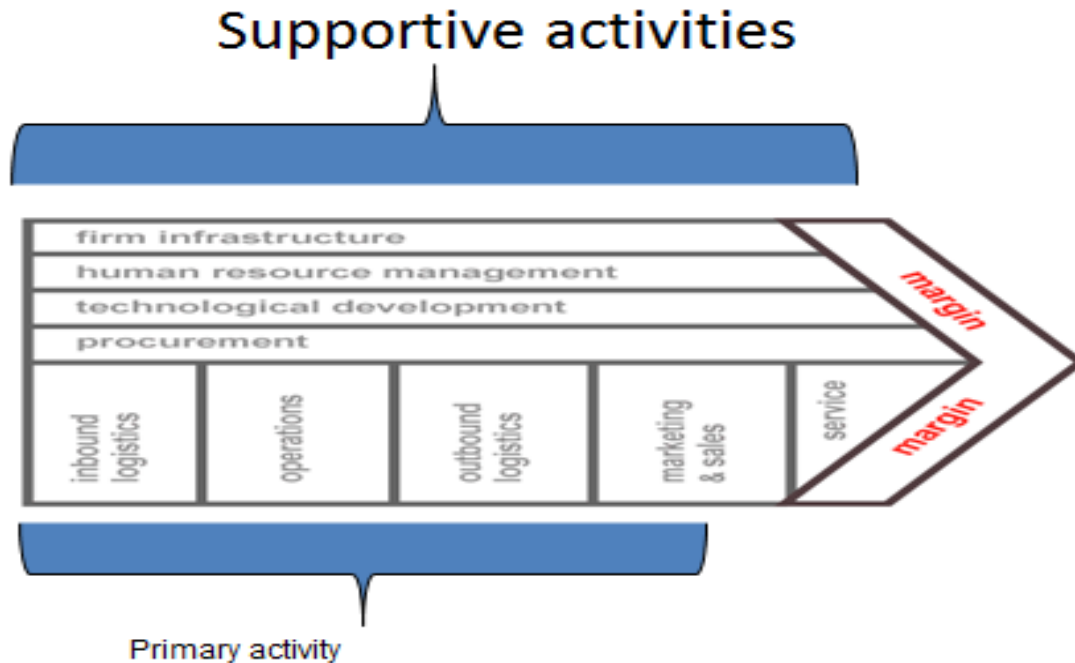
Essentially a business can be said to possess competitive advantage if it is able to return higher profits than its competitors. The goal of much of business strategy is to achieve a sustainable competitive advantage. Competitive advantage is an advantage that a firm has over its competitors that allowing it to generate greater sales or margins and/or retain more customers than its competition. Competitive advantages give a company an edge over its rivals and an ability to generate greater value for the firm and its shareholders. The more sustainable the competitive advantage, the more difficult it is for competitors to neutralize the advantage. In general, competitive advantage can be taken as an advantage over competitors that result from employing either cost leadership or differentiation strategy.

4 Value Chain Analysis

Campbell et al (2002) claims that value chain analysis seeks to provide an understanding of how much value an organization's activities add to its products and services compared to the costs of the resources used in their production. A given product can be produced by organizing activities in a number of different ways. Value chain analysis helps managers to understand how effectively and efficiently the activities of their organizations are configured and coordinated.

The term value chain refers to the idea that a company is a chain of activities for transforming inputs into outputs that customer's value. Value chain is a set of interlinked value creating activities performed by an organization. These activities may begin with the procurement of basic raw materials, go through its processing in various stages, and continue right up to the end products finally marketed to the ultimate consumers. There are clear linkages between value adding activities, core competencies, capabilities and resources. Resources form the inputs to the organization's value adding activities, while capabilities and core competencies provide skills and knowledge required to carry them out.

Different types of organizations have very different value chains. Similarly, not all organization's activities are of equal importance in adding value to its products. Analysis of value adding activities helps to identify where the most value is added and where there is potential to add greater value by changing the way in which activities are configured and by improving the way in which they are coordinated. Firms use this tool to select the value creating competencies that should be maintained and that should be outsourced. An increasing trend in recent years has been for organizations to concentrate on core activities associated with core competencies and to outsource activities that are not regarded as core to other organizations for which the activities are core. The process of converting inputs into outputs is composed of a number of primary activities and support activities. That is, the activities within the chain can be classified into primary and support activities.



- i. **Primary Activities:** are those that directly add value to the final product. Primary activities are involved with the product's physical creation, its sale and distribution to the buyers and its services after the sale. They have to do with the design, creation, and delivery of the product as well as its marketing and its support after sales service. The five categories of primary activities are:

- ✓ **Inbound logistics:** include such activities as material handling, warehousing, and inventory control, used to receive, store and disseminate them.
- ✓ **Operations:** are activities necessary to convert the inputs provided by the inbound logistics into a final product. Machining, assembling and maintaining equipment's are examples of operation activates.
- ✓ **Outbound logistics:** are activities involved with collecting, storing, and physically distributing the final products to customers. Finished goods warehousing, their handling and order processing are examples of activities that pertain to outbound logistics.
- ✓ **Marketing and sales:** are activities completed to provide means through which customers can purchase products and to induce them to do so. It is mainly deals with the promotion aspect of marketing; that is, designing the right message, releasing it through right media and undertaking the other elements of promotion like personal selling, sales promotion and public relations.

- ✓ **Services:** are activities designed to enhance or maintain a product's value.
- ii. **Support activities:** The support activities are those accomplished in order to assist the primary activities. Support activities do not directly add value themselves but indirectly add value by supporting the effective execution of primary activities. This category includes:
- 👉 **Procurement:** concerned with activities completed to purchase the inputs needed to produce a firm's products.
 - 👉 **Technological development:** is associated with activities completed to improve a firm's products and processes used to manufacture it. It takes many forms such as processes, equipment's, basic research and development, product design, service procedure and the like.
 - 👉 **Human resource management:** related to activities accomplished in recruiting, hiring, training, development, compensation, promotion, transfer, etc.
 - 👉 **Firm's infrastructure:** includes activities such as general management, planning, finance, accounting, legal supports, government relations and others that are required to support the work of the entire value chain.